

Audit Planning Memorandum — Himal Trading & Manufacturing Pvt. Ltd.

To: Engagement Team
From: Engagement Partner, XYZ & Co.
Re: Audit Planning Memorandum — Himal Trading & Manufacturing Pvt. Ltd. — FY 2081/82
Date: 2082-04-10

1. Engagement scope

We have been re-appointed as statutory auditors for the financial year ended 2082-03-31. The audit will be conducted in accordance with Nepal Standards on Auditing (NSAs). Reporting deadline: 2082-06-15.

2. Preliminary risk assessment

Based on prior-year working papers, analytical review and discussion with management, the following are considered **Significant Risks**:

#	Risk area	Why significant	Planned response
R1	Revenue recognition — cut-off	Q4 revenue spike of 28% vs run-rate	Cut-off testing on 15 days either side of YE
R2	Inventory exists, second-hand production line commissioned; high WIP physical count	Inventory exists, second-hand production line commissioned; high WIP physical count	NRV testing on slow-moving SKUs
R3	Related-party transactions	Related-party transactions; round-amount transactions	Request approvals; confirm balances; review minutes
R4	Loan covenant compliance	DSCR covenant of 1.25x; tight headroom	Recompute DSCR; obtain bank confirmation
R5	Going concern	Working capital pressure observed at interim	Review cash-flow forecast; sensitivity testing

3. Materiality

Overall materiality has been set at NPR 21,00,000 (approximately 5% of profit before tax). Performance materiality has been set at 75% of overall materiality, i.e. NPR 15,75,000. Clearly trivial threshold is NPR 1,05,000.

4. Team composition

Engagement partner — CA Ramesh K.C.; Manager — CA Sushma Lama; In-charge — CA Article Niraj Karki; Trainees — 2.

5. Cross-references

See: Internal Control Policy (separate document) for control design; Loan Agreement Summary for covenant clauses; Board Minutes for related-party approvals.

This is a synthetic teaching document. No real entity is referenced. Himal Trading & Manufacturing Pvt. Ltd. is fictional.